

Annual Business Report - FY2026

Northwind Retail Group - Annual Business Report, Fiscal Year 2026

Northwind Retail Group is a mid-sized regional retailer operating 142 stores across the Midwest United States. This report summarizes financial performance, operational highlights, and strategic priorities for fiscal year 2026.

Executive Summary: Net revenue for FY2026 grew by 14% year-over-year, reaching \$382 million, driven primarily by strong e-commerce growth and the opening of 18 new store locations. Gross margin improved to 41.2%, up from 38.7% in FY2025, due to improved supplier contracts and reduced logistics costs.

Financial Performance

Revenue Breakdown: Of the \$382 million in net revenue, \$271 million (71%) came from brick-and-mortar stores, while \$111 million (29%) came from online channels. This marks a significant shift from FY2025, when online revenue accounted for only 21% of total sales.

Operating expenses totaled \$298 million, resulting in an operating income of \$84 million, an operating margin of 22%. Net income after taxes was \$61 million, compared to \$49 million in FY2025, a year-over-year increase of approximately 24%.

The company's cash reserves at year end stood at \$47 million, with total outstanding debt of \$112 million, giving a debt-to-equity ratio of 0.68, which the finance team considers healthy relative to industry peers.

Operational Highlights

Store Network: Northwind opened 18 new stores in FY2026, primarily in suburban markets in Ohio, Indiana, and Michigan. Two underperforming locations in rural Illinois were closed as part of a portfolio optimization initiative.

Supply Chain: A new distribution center in Columbus, Ohio became operational in March 2026, reducing average delivery times to stores by 1.3 days and cutting logistics costs by an estimated \$4.2 million annually.

Workforce: Total headcount grew to 6,400 employees, up from 5,850 the prior year. Employee turnover decreased from 34% to 27%, attributed to a new retention bonus program introduced in Q2 FY2026.

Strategic Priorities for FY2027

Looking ahead to FY2027, Northwind's leadership has identified three core strategic priorities: (1) accelerating e-commerce investment, with a target of growing online revenue share to 35% of total sales; (2) expanding the loyalty program, aiming for 2 million enrolled members by the end of FY2027, up from 1.1 million currently; and (3) piloting a same-day delivery service in five major metro markets.

Management expects continued moderate growth, projecting FY2027 net revenue between \$410 million and \$430 million, with operating margin expected to remain stable in the 21-23% range, barring significant macroeconomic disruption.